bestoasis

Recycling with the Best

Weekly Ship Recycling Report

30 December 2023 - 05 January 2024

Visit : www.best-oasis.com

Email: bol@bol.ae

Head Office: 3201, Saba Tower 1, Cluster E, Jumeirah Lake Towers, Dubai, U.A.E

Contact: +971 4575 4667

Highlights of the week

Inconsistent setting characterized the ship recycling activities for this week in the new year. There was no significant demand in India, where the market remained unchanged and is anticipated to progressively decline. Dollars have been in limited supply in Bangladesh for a considerable period, creating the present deadlock situation, and this ailment is anticipated to last for a substantial duration. The approaching elections in Pakistan, coupled with the possibility of currency depreciation as a result, are stimulating a revival in purchasing interest. Turkey is now undergoing a period of reduced activity, which is comparable to the previous week.

The challenges faced by ship recyclers in acquiring tonnage in 2023 are becoming more severe due to the escalating Red Sea crisis, which is driving up demand for vessels and freight rates. The increase in freight rates, due to the crisis in the Red Sea, is anticipated to encourage owners to hold onto their older ships instead of selling them for recycling.

The UN World Economic Situation and Prospects 2024 report indicates a projected deceleration in global economic growth, with an estimated decline from 2.7 percent in 2023 to 2.4 percent in 2024. The current state of global affairs poses significant risks to global growth. Factors such as weakening global trade, high borrowing costs, elevated public debt, persistently low investment, and mounting geopolitical tensions all contribute to this uncertain outlook. The projected growth in several developed economies, including the United States, is expected to slow down in 2024 due to factors such as high-interest rates, a decrease in consumer spending, and a weaker labor market.

Exchange Rates:

USD / INR ₹

This Week	:	83.14
Previous Week	:	83.16
Gained	:	0.02

USD / BDT ৳

This Week	:	109.71
Previous Week	:	109.95
Gained	:	0.24

USD / PKR Rs

This Week	:	278.35
Previous Week	:	278.89
Gained	:	0.54

USD / TRY ₺

This Week	:	29.83
Previous Week	:	29.55
Lost	:	0.28

India

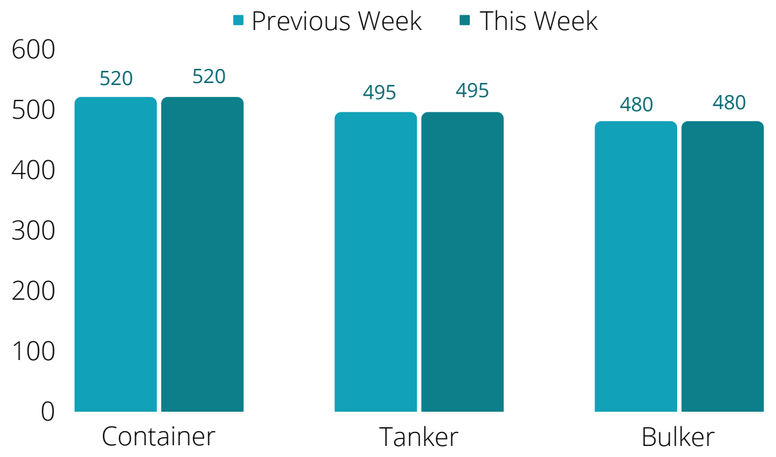
The market continues to observe a decline and is comparable to the previous week with little activity.

- The market remains low, consistent with its performance from the previous week, exhibiting a gradual decline over time.
- The level of activity is similarly minimal.
- Although there is no apparent demand, there has been some interest in green recycling vessels.
- The Reserve Bank of India's Monetary Policy Committee (MPC) has estimated that the economy may experience a growth rate of approximately 7% in the current financial year. Additionally, the United Nations has projected that India will grow at a rate of 6.2% in 2024, driven by strong domestic demand and robust growth in the manufacturing and services sectors.

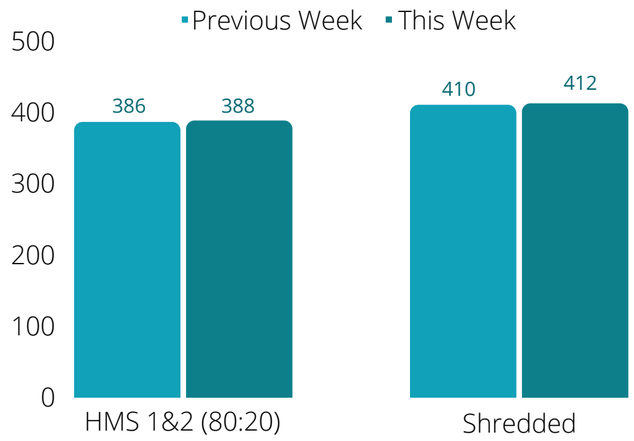
Beaching Dates

09 January to 17 January 2024
23 January to 30 January 2024
08 February to 15 February 2024

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded

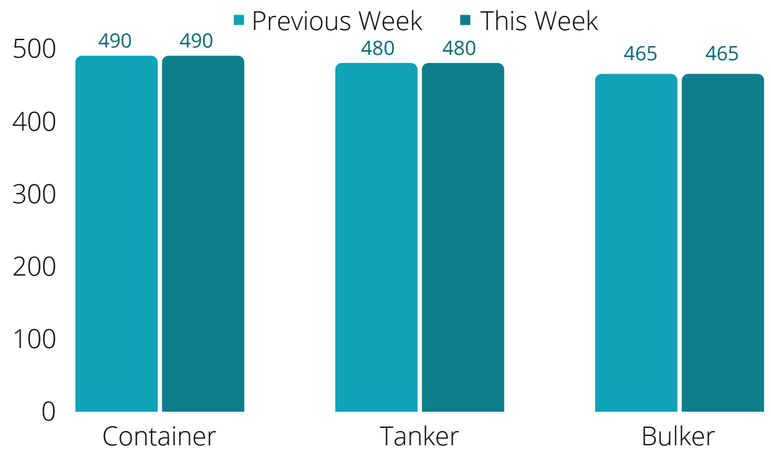


Bangladesh

Presently, the market is devoid of activity and is in a state of impasse.

- The market is currently experiencing a significant lack of interest, with a deadlock situation arising from a severe shortage of USD. inevitably, this situation appears to be worsening.
- The Bangladesh elections which are going to be conducted on 7th January are close at hand, but, we do not anticipate any significant changes resulting from the elections.
- Bangladesh was unable to achieve its target for foreign exchange reserves by the end of 2023, despite the International Monetary Fund's easing of conditions on net reserves. As of the conclusion of December 2023, the projected actual reserves amounted to 17.78 billion USD. However, its value approximated 16.75 billion USD.

Price for Recycling Ships in Bangladesh



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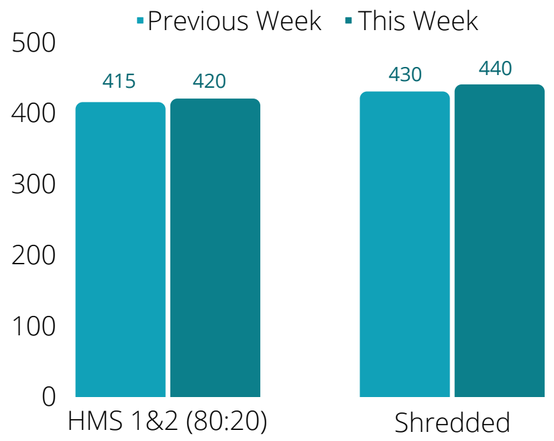


Beaching Dates

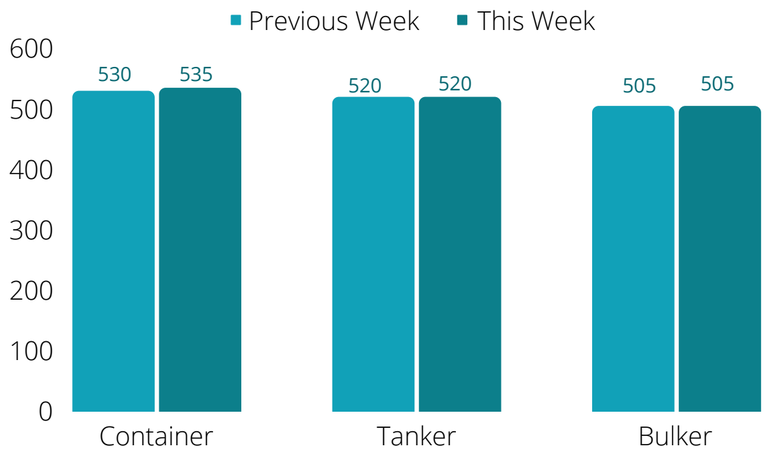
13 January to 16 January 2024
28 January to 30 January 2024
11 February to 14 February 2024

Pakistan

A renewed sense of demand has emerged in this market owing to upcoming elections.

- The market is stable and recyclers are seeking to buy tonnages before the upcoming general elections.
- Due to concerns about the potential devaluation of the currency resulting from the election, buyers are actively looking for vessels that can be delivered promptly. As a result, there is a revived demand for vessels with swift delivery options.
- The dollar reserves have exceeded 8.2 billion USD this week, indicating a healthy trend. Additionally, the IMF's second tranche of 700 million USD is anticipated by mid-January.

Price for Recycling Ships in Pakistan



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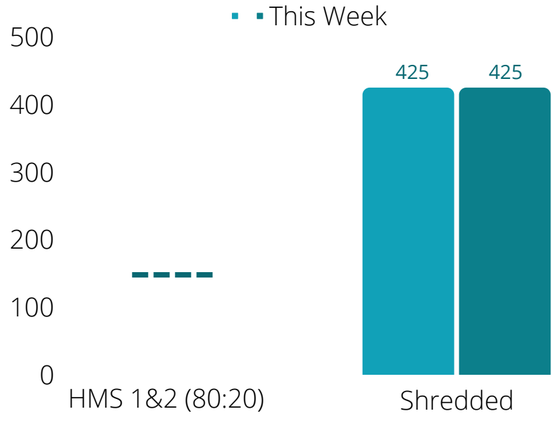


Beaching Dates

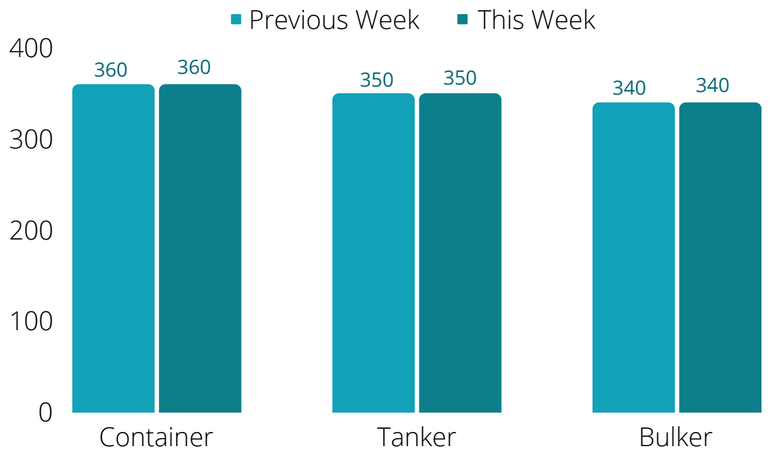
Throughout the month

Türkiye

The market is experiencing sluggishness, characterized by a lack of activity.

- The market is notably sluggish in this region, presumably due to the new year, and the activity is also low.
- The annual inflation rate for Turkey in December 2023 surpassed expectations with 64.8%, marking the greatest level since November 2022 and a rise from the previous month's rate of 62%.
- The Turkish lira depreciated to a fresh all-time low of over 29.83 versus the USD, continuing a series of losses that accelerated towards the end of 2023, resulting in a year-end depreciation of about 37%.

Price for Recycling Ships in Türkiye



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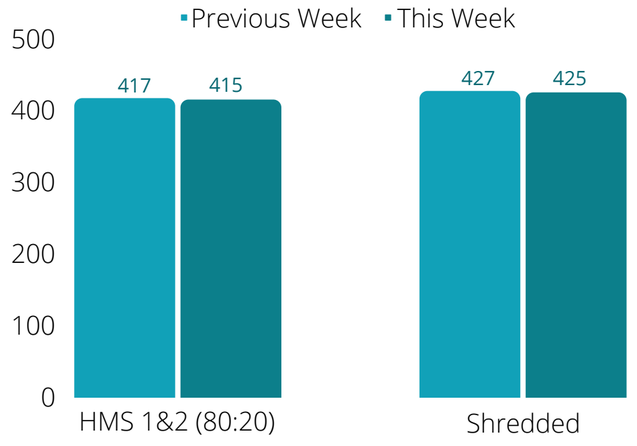
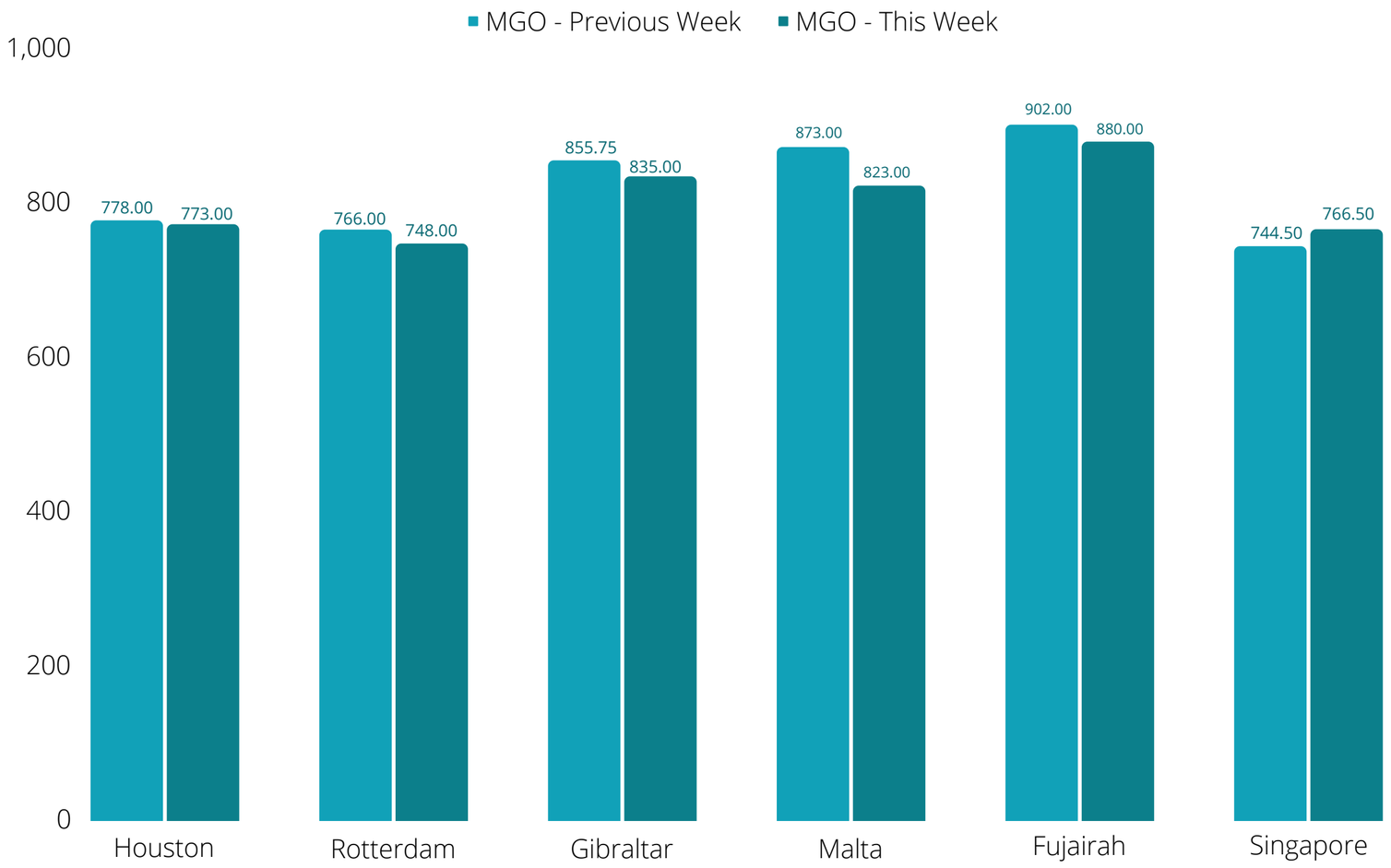


Beaching Dates

Throughout the month

Bunker Prices at Port



Brent Crude

This Week	: 77.88
Previous Week	: 77.63
Movement	: +0.25

WTI Crude

This Week	: 72.61
Previous Week	: 72.10
Movement	: +0.51

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
JOHN CAINE	OIL TANKER	9045431	1993	JAPAN	4,759	AS-IS	SINGAPORE	465
AT MIDDLE BRIDGE	GENERAL CARGO	8902838	1989	JAPAN	3,434	DELIVERED	ALANG, INDIA	504
ICE RIVER	REEFER	8311118	1985	SOUTH KOREA	6,984	DELIVERED	ALANG, INDIA	573 (DELIVERED WITH 250 MT OF ALUMINIUM)
AL DHAFIRA	PASSENGER	8509026	1987	GERMANY	6,040	AS-IS	OMAN	387.41
MSC SOPHIE	CONTAINER	9073062	1993	SOUTH KOREA	13,616	DELIVERED	ALANG, INDIA (STRICT HKC RECYCLING)	UNDISCLOSED

Contact Us

Germany

Mr. Gerd Leopold
S&P Consultant

Phone: +49 417 188 0204
Mobile: +49 172 370 1021

Greece

Mr. Yiannis Kourkoulis
Vice President - Purchase

Phone: +30 210 0101 450
Mobile: +30 694 258 3977

Ms. Irini Mylona
Commerical Executive

Phone: +30 210 0101 450
Mobile: +30 694 484 3136

U.A.E.

Mr. Naren Sampath
Ship Broker - Purchase

Phone: +971 4575 4667
Mobile: +971 55 836 9147

Mr. Asif Ali
Ship Broker - Purchase

Phone: +971 4575 4667
Mobile: +971 58 645 0162

China

Capt. Steven Xu
Company Representative

Mobile: +86 136 6600 0719

Japan

Mr. T Ishii
Company Representative

Work: +81 354 522 405
Mobile: +81 901 536 1497

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